



Asia
China
Hong Kong

Technology
Software & Services

Industry China E-commerce

Date
23 April 2026

Industry Update

Regulation returns – who benefits and who may lose out?

From price war to "compliance war"

The SAMR [issued](#) last Friday a series of administrative penalties totaling RMB3.6bn against major China e-commerce platforms, including PDD, Meituan, Alibaba, JD, and Douyin. These penalties cited the platforms' failure to filter out unqualified merchants and violations of food safety, particularly concerning "ghost kitchens" and "order transfer" practices on cakes. Under this model, platforms and ghost stores typically get 70% of the order price, leaving the actual fulfilling merchant very little to cover costs ([Figure 2](#)). Beyond financial penalties, operational restrictions like 3-9 month suspensions on onboarding new cake merchants were also imposed.

This action is notable for several key characteristics: 1) [Record penalty](#) over food safety. The total amount is the largest ever imposed since the 2015 amendment of China's Food Safety Law; 2) [Broad scope](#). All major e-com platforms have been targeted, signaling an industry-wide compliance push, rather than isolated incidents; 3) [Elevated individual accountability](#). RMB19.7m in fines were levied against platform legal representatives and food safety executives.

We view this, together with similar moves recently, as suggesting regulation is stepping up. It had been quiet since the anti-monopoly crackdown in 2021. In some ways this is the reverse of that move, as it appears an effort to reduce competition - but it does seem a valuable effort. Aggressive competition and low-quality supply will likely be targeted to reduce involution and elevate consumption. Meanwhile, regulators are explicitly requiring platforms to assume material responsibility for merchant oversight and consumer protection. This trend is also evident in the [new tax rules for platforms](#) effective last Oct, which mandate data-sharing between platforms and tax authorities to ensure merchant tax compliance. PDD was fined RMB100k for delaying tax data submission earlier this year.

While the penalties are substantial, they are not financially crippling for these deep-pocketed giants. Even for PDD, the penalty only represents 1.4% of its 2025 non-GAAP net income. However, we expect intensified regulatory pressure to create further near-term headwinds for industry growth and margins, as higher compliance costs incur and low-quality supply phase out. Over the long run, this should bring more positives, pushing the industry towards higher and more sustainable earnings however.

Peter Milliken, CFA

Research Analyst
+852-2203 6190

Key Changes

Company	Target Price	Rating
9988.HK	190.00 to 180.00	-
BABA.N	195.00 to 185.00	-
PDD.OQ	115.00 to 110.00	-

Source: Deutsche Bank

Companies featured

PDD Holdings Inc (PDD.OQ),USD100.05	Hold
JD.com (JD.OQ),USD30.61	Buy
Alibaba (BABA.N),USD136.42	Buy
JD.com (9618.HK),HKD120.20	Buy
Alibaba (9988.HK),HKD131.50	Buy

Source: Deutsche Bank

Deutsche Bank AG/Hong Kong

IMPORTANT RESEARCH DISCLOSURES AND ANALYST CERTIFICATIONS LOCATED IN APPENDIX 1. Deutsche Bank does and seeks to do business with companies covered in its research reports. Thus, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.



PDD TP cut by 5% to US\$110, BABA by 2%

We believe the regulatory shift favours platforms with stronger quality positioning, higher proportion of branded merchants, and robust compliance capabilities, such as JD and Alibaba, while expect PDD to face a material negative impact. We update our estimates for the three companies factoring in the penalties and YTD trend. We cut our TP on PDD from US\$115 to US\$110, and retain a Hold. We also trim our TP on BABA to US\$185 and HK\$180, respectively on higher AI costs. Our TP for JD remains unchanged.

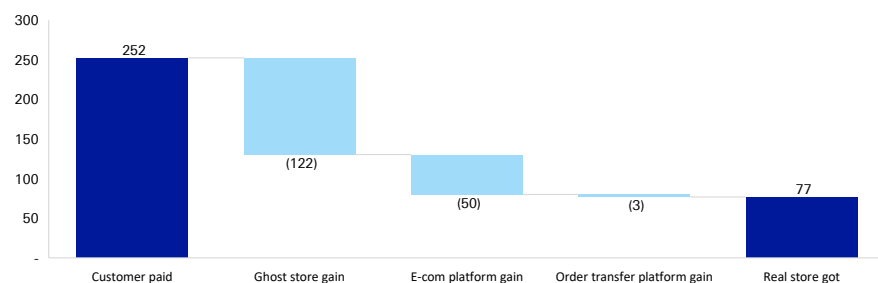
Among the three platforms, PDD has the largest exposure to small and unbranded merchants, many of whom relied on avoiding tax and qualification reviews to stay price-competitive. The company had the most active stores involved in the violations and received the highest penalty of RMB1.5bn, despite booking the lowest revenue. The severity of the fine was largely due to it reportedly supplying false information and even "adopting violence and soft resistance" to obstruct the investigation, according to SAMR and its affiliate China Quality Daily.

Figure 1: SAMR's administrative penalty details by company

	Ghost store count		Flagged GMV (A, RMBm)	Related revenue (B, RMBm)	Implied take rate (B/A)	Fines (C, RMBm)	Penalty		New store suspension (mths)
	Active	Total					(B+C, RMBm)	% of total	
PDD	9,463	9,463	97.1	5.8	6.0%	1,516.2	1,522.0	42%	9
Meituan	6,918	7,031	405.0	36.3	9.0%	709.5	745.7	21%	6
JD	4,858	43,190	77.3	6.7	8.7%	628.2	634.9	18%	3
Alibaba	6,360	7,466	353.1	23.1	6.5%	614.0	637.1	18%	/
Quick Commerce	5,223	6,329	212.3	19.5	9.2%	538.9	558.4	16%	6
Taobao	881	881	64.0	0.8	1.3%	46.1	46.9	1%	3
T-mall	256	256	76.8	2.7	3.5%	29.0	31.7	1%	6
Douyin	454	454	378.9	9.5	2.5%	47.4	56.9	2%	6
Total	28,053	67,604	1,311.3	81.4	6.2%	3,515.2	3,596.6	100%	

Source : SAMR, Deutsche Bank

Figure 2: An example of cake order flow under "order transfer" model (RMB) - ghost stores and platforms got 70% of what customer paid

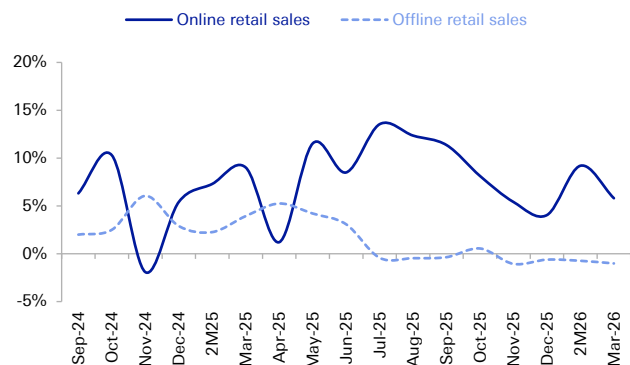


Source : People's Daily, Deutsche Bank



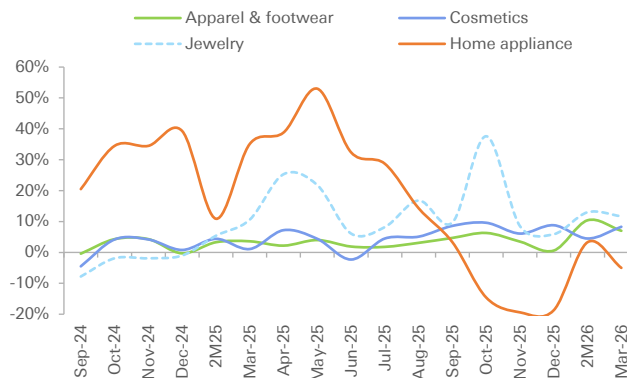
Sector review

Figure 3: China online retail sales growth recovered to 8% in 1Q26



Source : NBS, Deutsche Bank

Figure 4: Home appliances continued sliding in March after a temporary CNY boost



Source : NBS, Deutsche Bank

Earnings forecasts and revisions

Figure 5: BABA - Deutsche Bank earnings forecast revisions

Rmb mn	New			Previous			Change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Total GMV	8,949	9,352	9,679	8,949	9,352	9,679	0%	0%	0%
Growth %	5%	4%	3%	5%	4%	3%	0.0pp	0.0pp	0.0pp
Total Revenue	1,026,543	1,162,992	1,293,253	1,028,350	1,164,770	1,294,846	0%	0%	0%
China E-com Group	555,997	597,548	626,233	558,395	600,152	628,942	0%	0%	0%
AIDC	143,929	167,587	186,059	143,929	167,587	186,059	0%	0%	0%
Cloud	158,748	222,247	300,033	158,158	221,421	298,918	0%	0%	0%
All others	258,068	265,810	271,127	258,068	265,810	271,127	0%	0%	0%
Growth %	3.0%	13.3%	11.2%	3.2%	13.3%	11.2%	-0.2pp	0.0pp	0.0pp
Gross Profit	417,610	464,527	530,515	427,866	476,366	539,841	-2%	-2%	-2%
Gross margin, %	40.7%	39.9%	41.0%	41.6%	40.9%	41.7%	-0.9pp	-1.0pp	-0.7pp
Non-GAAP EBITA	73,610	119,759	160,452	83,274	131,071	169,322	-12%	-9%	-5%
China E-com Group	107,059	140,424	165,952	106,251	141,036	166,670	1%	0%	0%
AIDC	(3,672)	3,352	4,651	(3,672)	3,352	4,651	0%	0%	0%
Cloud	14,271	21,090	32,972	14,051	20,779	29,892	2%	2%	10%
All others	(35,325)	(36,385)	(34,401)	(24,634)	(25,373)	(23,169)	43%	43%	48%
Growth %	-57%	63%	34%	-51.9%	57.4%	29.2%	-5.6pp	5.3pp	4.8pp
Operating profit (Non-GAAP)	79,957	116,908	157,886	89,621	128,220	166,756	-11%	-9%	-5%
OP margin, Non-GAAP %	7.8%	10.1%	12.2%	8.7%	11.0%	12.9%	-0.9pp	-1.0pp	-0.7pp
Net Income (Non-GAAP)	78,783	127,937	159,326	86,272	136,910	166,636	-9%	-7%	-4%
Net margin, Non-GAAP, %	7.7%	11.0%	12.3%	8.4%	11.8%	12.9%	-0.7pp	-0.8pp	-0.5pp
EPS (RMB) Non-GAAP	32.77	53.22	66.27	35.89	56.95	69.31	-9%	-7%	-4%

Source : Deutsche Bank estimates, Bloomberg Finance LP



Figure 6: BABA - Deutsche Bank forecasts vs. consensus

Rmb mn	DB forecast			BBG consensus			DB vs. consensus		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Revenues	1,026,543	1,162,992	1,293,253	1,026,075	1,138,798	1,275,907	0%	2%	1%
China E-com Group	555,997	597,548	626,233	558,038	595,523	633,348	0%	0%	-1%
AIDC	143,929	167,587	186,059	144,933	158,692	169,600	-1%	6%	10%
Cloud	158,748	222,247	300,033	156,625	211,910	276,107	1%	5%	9%
All others	258,068	265,810	271,127	292,029	319,755	293,232	-12%	-17%	-8%
Gross profit	417,610	464,527	530,515	418,377	461,580	532,339	0%	1%	0%
Gross margin	41%	40%	41%	41%	41%	42%	-0.1pp	-0.6pp	-0.7pp
Core net profit	78,783	127,937	159,326	78,229	113,767	152,755	1%	12%	4%
Core net margin	7.7%	11.0%	12.3%	7.6%	10.0%	12.0%	0.1pp	1.0pp	0.3pp
Adj EPS (Rmb)	32.77	53.22	66.27	33.21	49.30	67.35	-1%	8%	-2%

Source : Deutsche Bank estimates, Bloomberg Finance LP

Figure 7: PDD - Deutsche Bank earnings forecast revisions

Rmb mn	Current			Previous			Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total GMV (Rmb bn)	6,690	7,122	7,379	6,750	7,233	7,494	-1%	-2%	-2%
Growth %	10%	6%	4%	11%	7%	4%	-1.0pp	-0.7pp	0.0pp
Total Revenue	482,473	526,722	557,465	485,200	531,695	562,636	-1%	-1%	-1%
Growth %	12%	9%	6%	12%	10%	6%	-0.6pp	-0.4pp	0.0pp
Online marketing services	234,719	249,697	259,909	236,961	253,786	264,165	-1%	-2%	-2%
Transaction services	247,754	277,025	297,557	248,238	277,909	298,472	0%	0%	0%
Gross Profit	264,800	283,758	296,931	266,649	287,792	302,197	-1%	-1%	-2%
Gross margin, %	54.9%	53.9%	53.3%	55.0%	54.1%	53.7%	-0.1pp	-0.3pp	-0.4pp
Operating profit (GAAP)	93,040	93,084	96,243	93,918	95,850	100,211	-1%	-3%	-4%
OP margin, %	19.3%	17.7%	17.3%	19.4%	18.0%	17.8%	-0.1pp	-0.4pp	-0.5pp
Operating profit (Non-GAAP)	100,920	100,792	103,387	101,843	103,631	107,421	-1%	-3%	-4%
OP margin, Non-GAAP %	20.9%	19.1%	18.5%	21.0%	19.5%	19.1%	-0.1pp	-0.4pp	-0.5pp
Net Income (GAAP)	95,950	87,086	91,731	97,966	89,268	94,887	-2%	-2%	-3%
Net margin, %	19.9%	16.5%	16.5%	20.2%	16.8%	16.9%	-0.3pp	-0.3pp	-0.4pp
Net Income (Non-GAAP)	103,831	94,794	98,875	105,892	97,049	102,097	-2%	-2%	-3%
Net margin, Non-GAAP, %	21.5%	18.0%	17.7%	21.8%	18.3%	18.1%	-0.3pp	-0.3pp	-0.4pp
EPS (RMB) GAAP	64.73	58.75	61.88	66.09	60.22	64.01	-2%	-2%	-3%
EPS (RMB) Non-GAAP	70.04	63.95	66.70	71.43	65.47	68.87	-2%	-2%	-3%

Source : Deutsche Bank estimates, Bloomberg Finance LP

Figure 8: PDD - Deutsche Bank forecasts vs. consensus

Rmb mn	DB forecast			BBG consensus			DB vs. consensus		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Revenues	482,473	526,722	557,465	495,477	556,073	605,528	-3%	-5%	-8%
Online marketing services	234,719	249,697	259,909	238,538	259,927	275,348	-2%	-4%	-6%
Transaction services	247,754	277,025	297,557	254,310	288,114	325,427	-3%	-4%	-9%
Gross profit	264,800	283,758	296,931	280,195	317,760	349,928	-5%	-11%	-15%
Gross margin	55%	54%	53%	57%	57%	58%	-2.3pp	-3.9pp	53.3pp
Operating profit	93,040	93,084	96,243	119,698	138,703	159,779	-22%	-33%	-40%
Operating margin	19%	18%	17%	24%	25%	26%	-5.7pp	-8.7pp	17.3pp
Net profit	95,950	87,086	91,731	115,288	135,775	151,932	-17%	-36%	-40%
Net margin	20%	17%	16%	23%	24%	25%	-4.5pp	-8.6pp	16.5pp
Core net profit	103,831	94,794	98,875	124,078	145,738	165,682	-16%	-35%	-40%
Core net margin	22%	18%	18%	25%	26%	27%	-4.7pp	-9.4pp	17.7pp
Adj EPS (Rmb)	70.04	63.95	66.70	75.45	83.49	97.09	-7%	-23%	-31%

Source : Deutsche Bank estimates, Bloomberg Finance LP

Valuation

We believe Asian e-commerce is pricing in an overly negative future, and see JD and BABA as clear Buys at this point. With that said, we have cut our valuations for PDD



and Alibaba. At Alibaba we have lifted our beta estimate from 1.0x to 1.1x to reflect an average of the US and HK stocks vs. their local benchmarks, and to represent the increased risk of its ongoing expansion efforts. At PDD our target price cut from US\$115 to US\$110 reflects our lowered estimates. We apply a high beta at the company to reflect the various concerns we have about how the business is run, including its employees fighting with regulators, what was a years-long gap without a CFO, and other issues.

Figure 9: Alibaba DCF

DCF analysis	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E	FY31E	FY32E	FY33E
Revenue	868,687	941,168	996,347	1,026,543	1,162,992	1,293,253	1,417,822	1,540,180	1,655,789	1,759,714	1,843,518
YoY %		8.3%	5.9%	3.0%	13.3%	11.2%	9.6%	8.6%	7.5%	6.3%	4.8%
EBIT	100,351	113,350	140,905	59,150	105,394	145,083	186,295	231,345	275,495	321,076	356,806
EBIT margin	11.6%	12.0%	14.1%	5.8%	9.1%	11.2%	13.1%	15.0%	16.6%	18.2%	19.4%
EBIT*(1-t)	80,281	90,680	112,724	47,320	84,315	116,067	149,036	185,076	220,396	256,860	285,445
YoY %		13%	24%	-58%	78%	38%	28%	24%	19%	17%	11%
D&A	46,938	44,504	35,596	39,097	49,371	67,229	87,379	109,891	117,776	124,864	130,561
Change in working capital	13,482	-4,221	-10,705	-12,824	18,096	5,525	7,458	6,168	7,318	-299	-3,381
Capex	-34,352	-32,929	-85,972	-123,185	-133,744	-142,258	-155,960	-169,420	-182,137	-193,569	-202,787
Non-cash operating items	30,831	18,546	13,970	11,292	11,514	12,803	11,931	11,017	10,067	9,094	8,098
Operating free cash flow	137,180	116,580	65,613	-38,300	29,552	59,366	99,844	142,732	173,421	196,950	217,936
Discounted FCF					27,513	51,213	79,760	105,630	118,897	125,221	128,207

Equity value	
PV of FCF	636,441
Terminal value	3,169,866
NPV of terminal value	1,864,761
Enterprise value	2,501,202
Net cash	663,677
Equity value, RMBmn	3,164,879
USD/CNY	7.12
Equity value, USDmn	444,609
ADS outstanding (mn)	2,404
Equity value (USD/shr)	USD 185
Current price (USD/shr)	USD 136
Up/(down)side	36%
HKD/USD	7.80
Equity value, HKDmn	3,467,946
Shares outstanding (mn)	19,233
Equity value (HKD/shr)	HKD 180
Current price (HKD/shr)	HKD 131
Up/(down)side	38%

Assumptions	
Cost of equity	8.4%
Cost of debt	4.8%
WACC	7.9%
Terminal growth rate, %	1.0%
Risk free rate	1.80%
Equity risk premium	6.0%
Beta	1.10
Tax rate	20%
Target debt/capital ratio	10%

Source : DB estimates



Figure 10: PDD - DCF valuation

Rmb mn	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Revenue	393,836	431,846	482,473	526,722	557,465	578,174	593,977	606,046	615,385	624,844
YoY %		10%	12%	9%	6%	4%	3%	2%	2%	2%
EBIT	108,423	94,624	93,040	94,050	97,253	99,064	100,553	99,790	98,903	98,009
EBIT margin	28%	22%	19%	18%	17%	17%	17%	16%	16%	16%
EBIT*(1-t)	91,862	77,624	78,153	70,537	72,940	74,298	75,415	74,843	74,178	73,507
YoY %		-15%	1%	-10%	3%	2%	2%	-1%	-1%	-1%
D&A	709	764	800	808	816	824	832	840	849	857
Change in working capital	29,739	21,530	(25,418)	(14,758)	(6,232)	(7,921)	(6,967)	(6,933)	(7,438)	(7,545)
Capex	(967)	(2,159)	(4,825)	(5,636)	(5,965)	(6,186)	(6,356)	(6,485)	(6,585)	(6,686)
Non-cash operating items	9,884	7,937	7,881	7,708	7,144	6,415	5,746	5,003	4,206	3,383
Operating free cash flow	131,227	105,697	56,591	58,659	68,702	67,429	68,670	67,268	65,210	63,516
Discounted FCF			52,733	49,332	52,171	46,178	42,444	37,525	32,884	28,853

Equity value	
PV of FCF	342,120
Terminal value	499,490
NPV of terminal value	226,901
Enterprise value	569,021
Net cash	570,529
Equity value (Rmb mn)	1,139,550
Equity value (US\$ mn)	162,793
Equity value (US\$/shr)	\$110
Current price (US\$/shr)	\$100.05
Up/(down)side	10%
Implied 2026E PE	11.0x
Implied 2027E PE	11.9x

Assumptions	
Cost of equity	10.8%
Cost of debt	
Risk free rate	1.80%
Equity risk premium	6.0%
Beta	1.5
Tax rate	15%
Target debt/capital ratio	0%
WACC	10.8%
Risk free rate	1.80%
(-) Term premium	1.5%
(-) Productivity fade	2.0%
Terminal growth rate	-1.7%

Source : DB estimates

Figure 11: BABA 12-month forward P/E



Source : Bloomberg Finance LP, Deutsche Bank

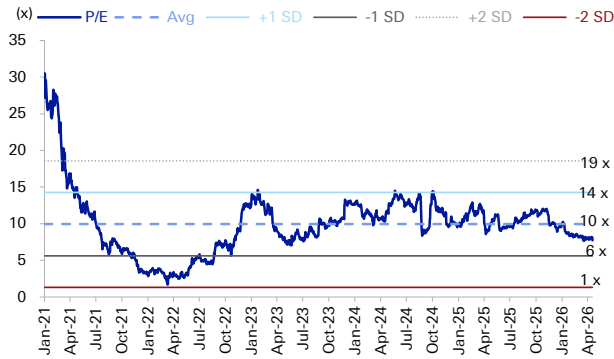
Figure 12: BABA 12-month forward P/B



Source : Bloomberg Finance LP, Deutsche Bank



Figure 13: PDD 12-month forward P/E



Source : Bloomberg Finance LP, Deutsche Bank

Figure 14: PDD 12-month forward P/B



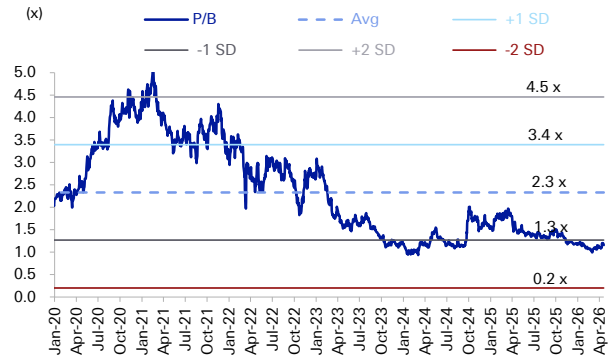
Source : Bloomberg Finance LP, Deutsche Bank

Figure 15: JD 12-month forward P/E



Source : Bloomberg Finance LP, Deutsche Bank

Figure 16: JD 12-month forward P/B



Source : Bloomberg Finance LP, Deutsche Bank

Acknowledgment

We would like to thank Sylvia Chen of Evalueserve for her help in this report.



Model updated: 23 April 2026

Running the numbers

Asia
China
Retail / Wholesale Trade

PDD Holdings Inc

Reuters: PDD.OQ Bloomberg: PDD US

Hold

Price (22 Apr 26) USD 100.1
Target Price USD 110.0
52 Week range USD 96.19 - 138.13
Market cap (m) USDm 138,470
EURm 118,149

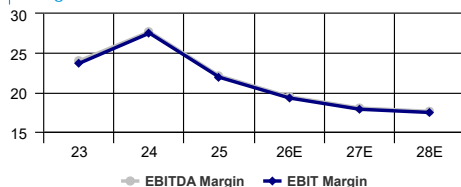
Company Profile

PDD is a large-size e-commerce company in China. PDD is mostly well-known for its "team purchase" concept.

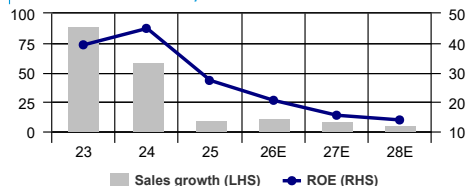
Price Performance



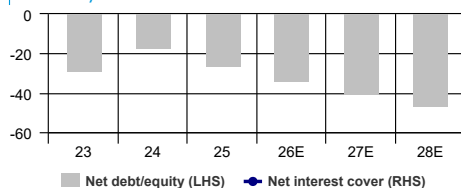
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	46.51	82.71	72.38	70.04	64.40	67.08
Reported EPS (CNY)	41.12	76.01	67.03	64.73	59.20	62.26
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	138.3	226.4	296.8	371.1	439.4	510.6
Weighted average shares (m)	1,354	1,384	1,398	1,398	1,398	1,398
Average market cap (CNYm)	879,197	1,258,063	1,161,816	944,528	944,528	944,528
Enterprise value (CNYm)	615,541	843,325	629,764	345,608	274,912	189,911

Valuation Metrics

P/E (DB) (x)	14.0	11.0	11.5	9.7	10.6	10.2
P/E (Reported) (x)	15.8	12.0	12.4	10.5	11.5	11.0
P/BV (x)	7.50	3.08	2.75	1.84	1.55	1.34
FCF Yield (%)	10.6	9.6	9.0	7.8	8.0	9.2
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	2.5	2.1	1.5	0.7	0.5	0.3
EV/EBITDA (x)	10.3	7.7	6.6	3.7	2.9	1.9
EV/EBIT (x)	10.5	7.8	6.7	3.7	2.9	2.0

Income Statement (CNYm)

Sales revenue	247,639	393,836	431,846	482,473	526,722	557,465
Gross profit	155,916	239,936	243,044	264,800	284,460	297,662
EBITDA	59,485	109,132	95,388	93,839	94,858	98,069
Depreciation	786	709	764	800	808	816
Amortisation	0	0	0	0	0	0
EBIT	58,699	108,423	94,624	93,040	94,050	97,253
Net interest income/(expense)	10,194	20,553	25,584	19,846	19,969	22,625
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	31	605	-1,838	0	0	0
Other pre-tax income/(expense)	2,953	3,120	2,727	1,341	3,000	3,180
Profit before tax	71,881	132,684	120,968	114,226	117,018	123,058
Income tax expense	11,850	20,267	21,733	18,276	29,255	30,764
Minorities	0	0	0	0	0	0
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	60,027	112,435	99,364	95,950	87,764	92,293
DB adjustments (including dilution)	7,873	9,909	7,937	7,881	7,708	7,144
DB Net profit	67,899	122,344	107,301	103,831	95,472	99,437

Cash Flow (CNYm)

Cash flow from operations	94,163	121,929	106,939	79,213	81,522	94,020
Net Capex	-584	-967	-2,159	-4,825	-5,636	-5,965
Free cash flow	93,579	120,962	104,779	74,388	75,886	88,056
Equity raised/(bought back)	-8,969	0	10	2	1	1
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	0	0	0	0	0	0
Other investing/financing cash flows	-55,130	-116,548	-48,252	0	0	0
Net cash flow	29,479	4,415	56,537	74,390	75,887	88,057
Change in working capital	40,313	29,739	21,530	-25,418	-14,758	-6,232

Balance Sheet (CNYm)

Cash and other liquid assets	59,794	57,768	108,901	175,769	246,464	331,466
Tangible fixed assets	980	879	1,306	5,331	10,160	15,309
Goodwill/intangible assets	21	19	15	15	15	15
Associates/investments	209,742	362,279	423,151	423,151	423,151	423,151
Other assets	77,541	84,088	96,672	106,636	113,675	117,899
Total assets	348,078	505,034	630,044	710,902	793,465	887,840
Interest bearing debt	5,880	5,310	0	0	0	0
Other liabilities	154,956	186,412	215,137	192,162	179,252	174,189
Total liabilities	160,837	191,721	215,137	192,162	179,252	174,189
Shareholders' equity	187,242	313,313	414,907	518,740	614,213	713,651
Minorities	0	0	0	0	0	0
Total shareholders' equity	187,242	313,313	414,907	518,740	614,213	713,651
Net debt	-53,914	-52,458	-108,901	-175,769	-246,464	-331,466

Key Company Metrics

Sales growth (%)	89.7	59.0	9.7	11.7	9.2	5.8
DB EPS growth (%)	69.5	77.8	-12.5	-3.2	-8.1	4.2
EBITDA Margin (%)	24.0	27.7	22.1	19.4	18.0	17.6
EBIT Margin (%)	23.7	27.5	21.9	19.3	17.9	17.4
Payout ratio (%)	0.0	0.0	0.0	0.0	0.0	0.0
ROE (%)	39.4	44.9	27.3	20.6	15.5	13.9
Capex/sales (%)	0.2	0.2	0.5	1.0	1.1	1.1
Capex/depreciation (x)	0.7	1.4	2.8	6.0	7.0	7.3
Net debt/equity (%)	-28.8	-16.7	-26.2	-33.9	-40.1	-46.4
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

We rate PDD a Hold. PDD has a business model which combines fun with cost-saving features for users. Its China business has increasing user penetration due to 1) extensive exposure in lower-tier cities, 2) promotions on agricultural products, 3) expanding product categories and increasing SKUs, and 4) higher user stickiness enabled by Duo Duo Grocery. Temu, its eCom arm in the overseas market, already covered over 90 countries & regions by Feb 2025. However, net earnings will likely face pressure as the company is devoted to invest more in overall ecosystem and support merchants for sustainable long-term development.

Valuation

We use a discounted cash flow method to value PDD. Our key WACC assumptions include: 1.8% risk-free rate, 1.5 beta, and a 6% market risk premium. Our terminal growth rate of -1.7% is calculated by risk-free rate less term premium (1.5%), and productivity fade (2%).

Risks

Downside risks include: (1) any potential change in regulations in China; (2) a slow-down in MAU and active user growth, (3) failure to monetize search/feed advertising from merchants, (4) loss of merchants due to fierce competition, and (5) US-China tension and other geopolitical risks might lead to tariff hikes and impede the global expansion and monetization of Temu. Upside risks: (1) less fierce competition in China eCommerce space, (2) easing of US-China tension or breakthrough in emerging markets for Temu, (3) optimized platform ecosystem enabling a stable and growing merchant base, further market share gain and take rate increase.



Model updated: 23 April 2026

Running the numbers

Asia
China
Retail / Wholesale Trade

JD.com

Reuters: JD.OQ

Bloomberg: JD US

Buy

Price (22 Apr 26) USD 30.61

Target Price USD 36.00

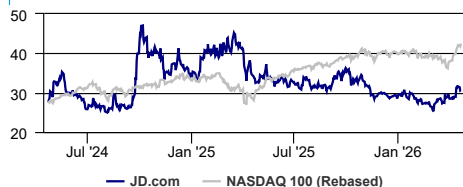
52 Week range USD 25.40 - 37.25

Market cap (m) USDm 45,754
EURm 39,039

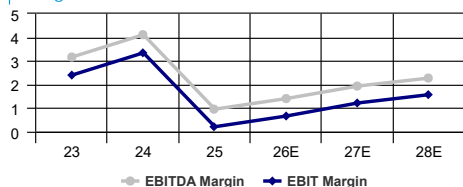
Company Profile

JD.com is China's leading one-stop e-commerce platform, offering a vast selection of products, across major categories (electronics, apparel and home furnishings, FMCG, fresh food, home appliances and others).

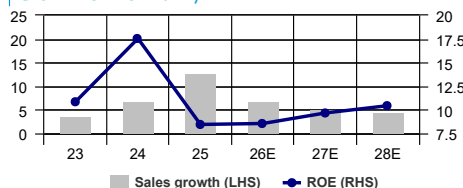
Price Performance



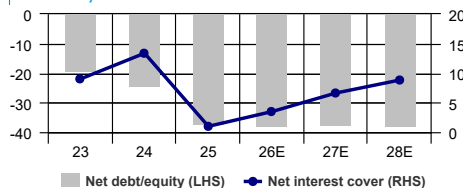
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	22.20	31.09	18.15	19.40	22.47	24.73
Reported EPS (CNY)	15.24	26.89	13.18	13.44	16.46	19.34
DPS (CNY)	5.38	6.99	6.92	7.79	9.20	10.16
BVPS (CNY)	147.5	160.1	158.1	179.8	198.9	218.0
Weighted average shares (m)	1,572	1,495	1,424	1,351	1,326	1,321
Average market cap (CNYm)	416,593	323,415	352,325	312,097	312,097	312,097
Enterprise value (CNYm)	249,668	170,012	210,357	162,381	156,473	146,962

Valuation Metrics

P/E (DB) (x)	11.9	7.0	13.6	10.8	9.3	8.4
P/E (Reported) (x)	17.4	8.0	18.8	15.5	12.7	10.8
P/BV (x)	1.39	1.56	1.30	1.16	1.05	0.96
FCF Yield (%)	9.5	13.7	5.4	6.5	6.5	8.3
Dividend Yield (%)	2.0	3.2	2.8	3.7	4.4	4.9
EV/Sales (x)	0.2	0.1	0.2	0.1	0.1	0.1
EV/EBITDA (x)	7.3	3.6	16.8	8.3	5.5	4.2
EV/EBIT (x)	9.6	4.4	75.8	17.5	8.7	6.1

Income Statement (CNYm)

Sales revenue	1,084,662	1,158,819	1,309,085	1,398,463	1,469,401	1,538,520
Gross profit	159,704	183,868	210,028	225,766	239,422	252,223
EBITDA	34,317	47,640	12,521	19,645	28,422	34,984
Depreciation	8,292	8,904	9,747	10,341	10,519	10,810
Amortisation	0	0	0	0	0	0
EBIT	26,025	38,736	2,774	9,304	17,904	24,174
Net interest income/(expense)	-2,881	-2,896	-2,803	-2,659	-2,697	-2,736
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	8,506	15,698	25,352	21,037	18,957	18,957
Profit before tax	31,650	51,538	25,323	27,681	34,164	40,394
Income tax expense	8,393	6,878	2,181	4,152	6,149	8,079
Minorities	-910	3,301	3,511	3,511	3,511	3,511
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	24,167	41,359	19,631	20,018	24,503	28,804
DB adjustments (including dilution)	11,033	6,468	7,401	8,863	8,957	8,017
DB Net profit	35,200	47,827	27,032	28,881	33,460	36,821

Cash Flow (CNYm)

Cash flow from operations	59,521	58,095	18,991	37,485	42,677	47,104
Net Capex	-20,015	-13,819	0	-19,210	-24,571	-24,171
Free cash flow	39,506	44,276	18,991	18,275	18,105	22,933
Equity raised/(bought back)	-2,464	-25,885	0	0	0	0
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	3,113	375	0	401	421	442
Other investing/financing cash flows	-45,860	17,552	-186	-9,482	-11,151	-12,376
Net cash flow	-5,705	36,318	18,805	9,195	7,375	10,999
Change in working capital	15,646	-3,107	758	5,929	5,633	5,231

Balance Sheet (CNYm)

Cash and other liquid assets	71,892	108,350	137,488	146,683	154,058	165,057
Tangible fixed assets	119,518	125,734	134,730	144,645	159,744	174,150
Goodwill/intangible assets	26,914	64,643	59,701	58,655	57,609	56,563
Associates/investments	175,000	151,354	102,035	100,989	99,943	98,897
Other assets	235,634	248,153	261,247	275,699	288,323	300,757
Total assets	628,958	698,234	695,201	726,670	759,676	795,424
Interest bearing debt	15,445	32,351	28,812	29,213	29,633	30,075
Other liabilities	317,133	352,586	372,606	385,764	397,522	408,687
Total liabilities	332,578	384,937	401,418	414,977	427,155	438,763
Shareholders' equity	231,858	239,347	225,404	242,950	263,778	287,918
Minorities	64,522	73,950	68,743	68,743	68,743	68,743
Total shareholders' equity	296,380	313,297	293,783	311,693	332,521	356,661
Net debt	-56,447	-75,999	-108,676	-117,470	-124,424	-134,981

Key Company Metrics

Sales growth (%)	3.7	6.8	13.0	6.8	5.1	4.7
DB EPS growth (%)	52.2	40.0	-41.6	6.8	15.9	10.0
EBITDA Margin (%)	3.2	4.1	1.0	1.4	1.9	2.3
EBIT Margin (%)	2.4	3.3	0.2	0.7	1.2	1.6
Payout ratio (%)	35.0	25.3	50.2	52.6	49.8	46.6
ROE (%)	10.9	17.6	8.5	8.6	9.7	10.4
Capex/sales (%)	1.8	1.2	0.0	1.4	1.7	1.6
Capex/depreciation (x)	2.4	1.6	0.0	1.9	2.3	2.2
Net debt/equity (%)	-19.0	-24.3	-37.0	-37.7	-37.4	-37.8
Net interest cover (x)	9.0	13.4	1.0	3.5	6.6	8.8

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

We think the companies that can offer premium product quality and service can stand out in the long run, and JD is one of them. We therefore rate it Buy, and expect investors to return as visibility focused more on 2027, when business conditions should be turning up, due to the hangover from the fading of appliance subsidies becoming less of an issue, and as the start-up losses from food delivery and instant commerce likely ease.

Valuation

We use a Discounted Cash Flow method to value JD. Our key WACC assumptions include: a 2.18% risk-free rate, a 1.2 beta, and a 6% market risk premium. Our terminal growth rate of -1.3% is calculated by the risk-free rate less term premium (2%) and productivity fade (1.5%).

Risks

Key risks include: 1) pressure on eCom business from weak demand and fiercer competition, 2) slower-than-expected revitalizing growth in user activities, 3) margin pressure from higher mix of low-tier market & low ASP orders; and 4) a longer-than-expected investment period for new initiatives.



Model updated: 23 April 2026

Running the numbers

Asia

China

Software & Services

Alibaba

Reuters: BABA.N

Bloomberg: BABA US

Buy

Price (22 Apr 26) USD 136.4

Target Price USD 185.0

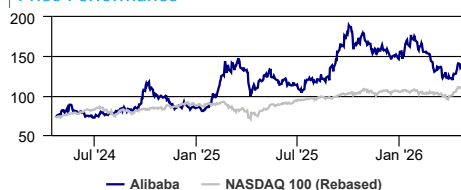
52 Week range USD 103.83 - 189.34

Market cap (m) USDm 320,429
EURm 273,404

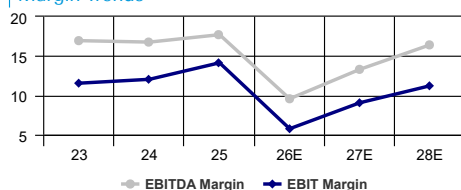
Company Profile

Founded in 1999, Alibaba leads the China retail market through Taobao (the largest online shopping platform in China based on GMV), Tmall (the largest 3rd party platform for retailers/brands in terms of GMV) and Juhuasuan (a leading China group buying platform). The company caters to global wholesale market through Alibaba.com and China wholesale market through 1688.com. Alibaba also serves

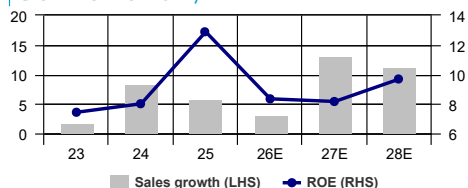
Price Performance



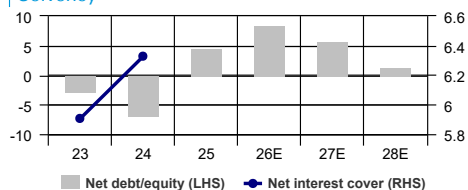
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Mar

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	53.64	61.88	65.48	32.77	53.22	66.27
Reported EPS (CNY)	27.61	31.44	53.88	37.24	40.01	52.50
DPS (CNY)	1.66	2.00	0.54	0.89	1.11	1.37
BVPS (CNY)	381.1	395.3	434.9	485.3	532.3	592.8
Weighted average shares (m)	2,622	2,523	2,349	2,315	2,315	2,315
Average market cap (CNYm)	1,670,824	1,502,059	1,555,458	2,185,696	2,185,696	2,185,696
Enterprise value (CNYm)	1,079,343	940,038	1,004,300	1,683,668	1,646,577	1,578,495

Valuation Metrics

P/E (DB) (x)	11.9	9.6	10.1	28.4	17.5	14.0
P/E (Reported) (x)	23.1	18.9	12.3	25.0	23.3	17.7
P/BV (x)	1.84	1.31	2.19	1.94	1.77	1.59
FCF Yield (%)	9.9	10.0	5.0	nm	1.2	2.6
Dividend Yield (%)	0.3	0.3	0.1	0.1	0.1	0.1
EV/Sales (x)	1.2	1.0	1.0	1.6	1.4	1.2
EV/EBITDA (x)	7.3	6.0	5.7	17.1	10.6	7.4
EV/EBIT (x)	10.8	8.3	7.1	28.5	15.6	10.9

Income Statement (CNYm)

Sales revenue	868,687	941,168	996,347	1,026,543	1,162,992	1,293,253
Gross profit	318,992	354,845	398,062	417,610	464,527	530,515
EBITDA	147,289	157,854	176,501	98,247	154,765	212,312
Depreciation	27,799	26,640	29,260	35,929	46,520	64,663
Amortisation	19,139	17,864	6,336	3,168	2,851	2,566
EBIT	100,351	113,350	140,905	59,150	105,394	145,083
Net interest income/(expense)	-16,989	-17,911	11,163	46,474	6,436	3,008
Associates/affiliates	-8,063	-7,735	5,966	7,800	7,800	7,800
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	5,823	6,157	3,387	3,387	3,387	3,387
Profit before tax	89,185	101,596	155,455	109,011	115,217	151,478
Income tax expense	15,549	22,529	35,445	27,068	26,613	32,856
Minorities	-7,210	-8,677	-4,133	220	220	220
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	72,783	80,009	130,109	89,523	96,183	126,202
DB adjustments (including dilution)	68,596	77,470	28,013	-10,740	31,754	33,124
DB Net profit	141,379	157,479	158,122	78,783	127,937	159,326

Cash Flow (CNYm)

Cash flow from operations	199,752	182,593	163,509	70,683	158,566	198,589
Net Capex	-33,708	-32,556	-85,972	-123,185	-133,744	-142,258
Free cash flow	166,044	150,037	77,537	-52,502	24,822	56,331
Equity raised/(bought back)	-77,246	-111,669	-17,239	-16,975	-8,035	-13,574
Dividends paid	-489	-546	0	0	0	0
Net inc/(dec) in borrowings	11,342	2,465	72,143	0	0	0
Other investing/financing cash flows	-97,494	16,627	-229,597	18,038	9,098	14,637
Net cash flow	2,157	56,914	-97,156	-51,439	25,885	57,394
Change in working capital	13,482	-4,221	-10,705	-12,824	18,096	5,525

Balance Sheet (CNYm)

Cash and other liquid assets	193,086	248,125	145,487	94,048	119,934	177,328
Tangible fixed assets	176,031	185,161	203,348	290,604	377,829	455,424
Goodwill/intangible assets	315,004	286,629	276,412	273,244	270,393	267,827
Associates/investments	683,155	599,999	669,075	671,603	683,029	693,937
Other assets	385,768	444,915	509,905	572,657	617,162	656,984
Total assets	1,753,044	1,764,829	1,804,227	1,902,157	2,068,347	2,251,499
Interest bearing debt	161,354	170,776	194,869	194,869	194,869	194,869
Other liabilities	468,769	481,454	519,252	515,084	572,294	615,158
Total liabilities	630,123	652,230	714,121	709,953	767,163	810,027
Shareholders' equity	999,515	997,272	1,021,571	1,123,449	1,232,209	1,372,277
Minorities	123,406	115,327	68,535	68,755	68,975	69,195
Total shareholders' equity	1,122,921	1,112,599	1,090,106	1,192,204	1,301,184	1,441,472
Net debt	-31,732	-77,349	49,382	100,821	74,935	17,541

Key Company Metrics

Sales growth (%)	1.8	8.3	5.9	3.0	13.3	11.2
DB EPS growth (%)	8.1	15.4	5.8	-50.0	62.4	24.5
EBITDA Margin (%)	17.0	16.8	17.7	9.6	13.3	16.4
EBIT Margin (%)	11.6	12.0	14.1	5.8	9.1	11.2
Payout ratio (%)	6.0	6.3	1.0	2.3	2.7	2.5
ROE (%)	7.4	8.0	12.9	8.3	8.2	9.7
Capex/sales (%)	4.0	3.5	8.6	12.0	11.5	11.0
Capex/depreciation (x)	0.7	0.7	2.4	3.2	2.7	2.1
Net debt/equity (%)	-2.8	-7.0	4.5	8.5	5.8	1.2
Net interest cover (x)	5.9	6.3	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Investment Thesis

Outlook

We rate Alibaba a Buy; the company is in the front seat of various technology-driven initiatives that could pave the way for secular growth. The core e-commerce business remains healthy and is pivoting to Taobao (vs. Tmall) to capture the growth in the low-tier market in China. Market share has been stabilizing with new initiatives and formats (e.g., Rmb10bn subsidy, flash sales), with consumer mind-share gain. In addition, BABA rolled out a US\$65bn share repurchase program through end-March 2027, with an annual return of 10-11%, or 11-12% including the dividend.

Valuation

We use a Discounted Cash Flow (DCF) method to value Alibaba. Our key WACC assumptions include: a 1.8% risk-free rate, a 1.1 beta, and a 6% market risk premium (WACC 7.9%). We use a 1.0% terminal growth rate, which is closer to the risk-free rate than we would typically use in our APAC TMT coverage, to reflect its growth potential in AI.

Risks

Key Risks: 1) macroeconomic slowdown; 2) regulatory uncertainties; 3) intensifying competition from global/local e-commerce platforms; 4) the inability to expand or monetize e-commerce and AliCloud business; and 5) FX volatility.



Model updated: 23 April 2026

Running the numbers

Asia
China
Retail / Wholesale Trade

JD.com

Reuters: 9618.HK Bloomberg: 9618 HK

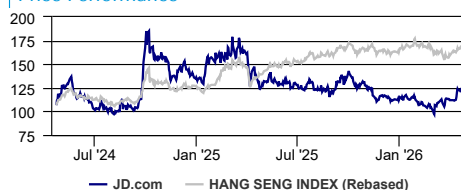
Buy

Price (22 Apr 26) HKD 120.2
Target Price HKD 140.0
52 Week range HKD 96.95 - 142.80
Market cap (m) HKDm 359,338
USDm 45,876

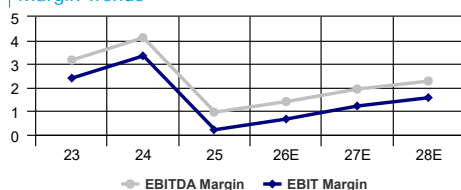
Company Profile

JD.com is China's leading one-stop e-commerce platform, offering a vast selection of products, across major categories (electronics, apparel and home furnishings, FMCG, fresh food, home appliances and others).

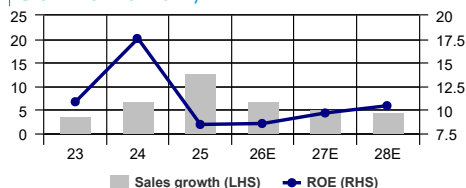
Price Performance



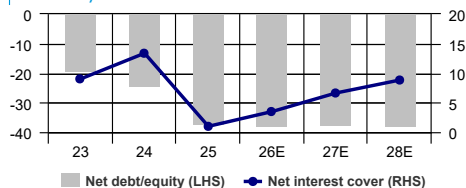
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Dec

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	11.10	15.55	9.08	9.70	11.24	12.36
Reported EPS (CNY)	7.62	13.44	6.59	6.72	8.23	9.67
DPS (CNY)	2.69	3.60	3.59	3.95	4.62	5.08
BVPS (CNY)	73.7	80.1	79.0	89.9	99.5	109.0
Weighted average shares (m)	3,144	2,990	2,847	2,702	2,652	2,642
Average market cap (CNYm)	416,646	322,187	351,828	312,929	312,929	312,929
Enterprise value (CNYm)	249,721	168,784	209,860	163,214	157,305	147,794

Valuation Metrics

P/E (DB) (x)	11.9	6.9	13.6	10.8	9.3	8.5
P/E (Reported) (x)	17.4	8.0	18.7	15.6	12.7	10.8
P/BV (x)	1.38	1.57	1.30	1.16	1.05	0.96
FCF Yield (%)	9.5	13.7	5.4	6.5	6.5	8.3
Dividend Yield (%)	2.0	3.3	2.9	3.8	4.4	4.9
EV/Sales (x)	0.2	0.1	0.2	0.1	0.1	0.1
EV/EBITDA (x)	7.3	3.5	16.8	8.3	5.5	4.2
EV/EBIT (x)	9.6	4.4	75.7	17.5	8.8	6.1

Income Statement (CNYm)

Sales revenue	1,084,662	1,158,819	1,309,085	1,398,463	1,469,401	1,538,520
Gross profit	159,704	183,868	210,028	225,766	239,422	252,223
EBITDA	34,317	47,640	12,521	19,645	28,422	34,984
Depreciation	8,292	8,904	9,747	10,341	10,519	10,810
Amortisation	0	0	0	0	0	0
EBIT	26,025	38,736	2,774	9,304	17,904	24,174
Net interest income/(expense)	-2,881	-2,896	-2,803	-2,659	-2,697	-2,736
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	8,506	15,698	25,352	21,037	18,957	18,957
Profit before tax	31,650	51,538	25,323	27,681	34,164	40,394
Income tax expense	8,393	6,878	2,181	4,152	6,149	8,079
Minorities	-910	3,301	3,511	3,511	3,511	3,511
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	24,167	41,359	19,631	20,018	24,503	28,804
DB adjustments (including dilution)	11,033	6,468	7,401	8,863	8,957	8,017
DB Net profit	35,200	47,827	27,032	28,881	33,460	36,821

Cash Flow (CNYm)

Cash flow from operations	59,521	58,095	18,991	37,485	42,677	47,104
Net Capex	-20,015	-13,819	0	-19,210	-24,571	-24,171
Free cash flow	39,506	44,276	18,991	18,275	18,105	22,933
Equity raised/(bought back)	-2,464	-25,885	0	0	0	0
Dividends paid	0	0	0	0	0	0
Net inc/(dec) in borrowings	3,113	375	0	401	421	442
Other investing/financing cash flows	-45,860	17,552	-186	-9,482	-11,151	-12,376
Net cash flow	-5,705	36,318	18,805	9,195	7,375	10,999
Change in working capital	15,646	-3,107	758	5,929	5,633	5,231

Balance Sheet (CNYm)

Cash and other liquid assets	71,892	108,350	137,488	146,683	154,058	165,057
Tangible fixed assets	119,518	125,734	134,730	144,645	159,744	174,150
Goodwill/intangible assets	26,914	64,643	59,701	58,655	57,609	56,563
Associates/investments	175,000	151,354	102,035	100,989	99,943	98,897
Other assets	235,634	248,153	261,247	275,699	288,323	300,757
Total assets	628,958	698,234	695,201	726,670	759,676	795,424
Interest bearing debt	15,445	32,351	28,812	29,213	29,633	30,075
Other liabilities	317,133	352,586	372,606	385,764	397,522	408,687
Total liabilities	332,578	384,937	401,418	414,977	427,155	438,763
Shareholders' equity	231,858	239,347	225,040	242,950	263,778	287,918
Minorities	64,522	73,950	68,743	68,743	68,743	68,743
Total shareholders' equity	296,380	313,297	293,783	311,693	332,521	356,661
Net debt	-56,447	-75,999	-108,676	-117,470	-124,424	-134,981

Key Company Metrics

Sales growth (%)	3.7	6.8	13.0	6.8	5.1	4.7
DB EPS growth (%)	52.2	40.0	-41.6	6.8	15.9	10.0
EBITDA Margin (%)	3.2	4.1	1.0	1.4	1.9	2.3
EBIT Margin (%)	2.4	3.3	0.2	0.7	1.2	1.6
Payout ratio (%)	35.0	26.0	52.1	53.4	50.0	46.6
ROE (%)	10.9	17.6	8.5	8.6	9.7	10.4
Capex/sales (%)	1.8	1.2	0.0	1.4	1.7	1.6
Capex/depreciation (x)	2.4	1.6	0.0	1.9	2.3	2.2
Net debt/equity (%)	-19.0	-24.3	-37.0	-37.7	-37.4	-37.8
Net interest cover (x)	9.0	13.4	1.0	3.5	6.6	8.8

Source: Company data, Deutsche Bank estimates



Model updated: 23 April 2026

Running the numbers

Asia
China
Software & Services

Alibaba

Reuters: 9988.HK Bloomberg: 9988 HK

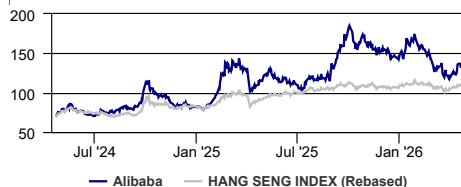
Buy

Price (22 Apr 26)	HKD 131.5
Target Price	HKD 180.0
52 Week range	HKD 102.90 - 185.10
Market cap (m)	HKDm 2,470,984 USDm 315,468

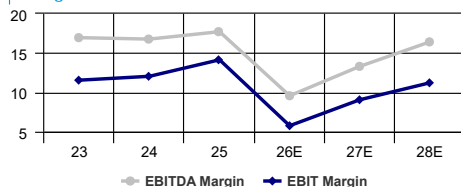
Company Profile

Founded in 1999, Alibaba leads the China retail market through Taobao (the largest online shopping platform in China based on GMV), Tmall (the largest 3rd party platform for retailers/brands in terms of GMV) and Juhuasuan (a leading China group buying platform). The company caters to global wholesale market through Alibaba.com and China wholesale market through 1688.com. Alibaba also serves

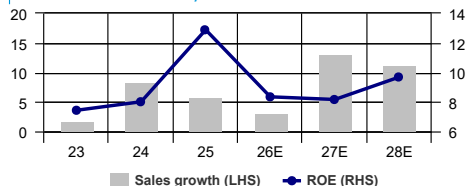
Price Performance



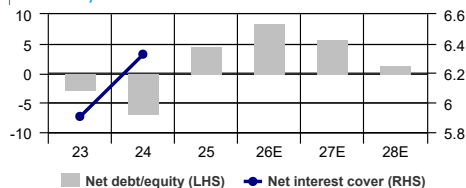
Margin Trends



Growth & Profitability



Solvency



Peter Milliken, CFA

+852 2203 6190

peter.milliken@db.com

Fiscal year end 31-Mar

Financial Summary

	2023	2024	2025	2026E	2027E	2028E
DB EPS (CNY)	6.71	7.74	8.19	4.10	6.65	8.28
Reported EPS (CNY)	3.45	3.93	6.74	4.65	5.00	6.56
DPS (CNY)	0.00	1.42	1.77	0.48	0.78	0.97
BVPS (CNY)	47.6	49.4	54.4	60.7	66.5	74.1
Weighted average shares (m)	20,980	20,182	18,791	18,519	18,519	18,519
Average market cap (CNYm)	1,672,777	1,496,639	1,556,069	2,151,856	2,151,856	2,151,856
Enterprise value (CNYm)	1,081,296	934,618	1,004,911	1,649,828	1,612,737	1,544,655

Valuation Metrics

P/E (DB) (x)	11.9	9.6	10.1	28.0	17.2	13.8
P/E (Reported) (x)	23.1	18.9	12.3	24.6	22.9	17.5
P/BV (x)	1.84	1.30	2.18	1.91	1.74	1.56
FCF Yield (%)	9.9	10.0	5.0	nm	1.2	2.7
Dividend Yield (%)	0.0	1.9	2.1	0.4	0.7	0.8
EV/Sales (x)	1.2	1.0	1.0	1.6	1.4	1.2
EV/EBITDA (x)	7.3	5.9	5.7	16.8	10.4	7.3
EV/EBIT (x)	10.8	8.2	7.1	27.9	15.3	10.6

Income Statement (CNYm)

Sales revenue	868,687	941,168	996,347	1,026,543	1,162,992	1,293,253
Gross profit	318,992	354,845	398,062	417,610	464,527	530,515
EBITDA	147,289	157,854	176,501	98,247	154,765	212,312
Depreciation	27,799	26,640	29,260	35,929	46,520	64,663
Amortisation	19,139	17,864	6,336	3,168	2,851	2,566
EBIT	100,351	113,350	140,905	59,150	105,394	145,083
Net interest income/(expense)	-16,989	-17,911	11,163	46,474	6,436	3,008
Associates/affiliates	-8,063	-7,735	5,966	7,800	7,800	7,800
Exceptionals/extraordinaries	0	0	0	0	0	0
Other pre-tax income/(expense)	5,823	6,157	3,387	3,387	3,387	3,387
Profit before tax	89,185	101,596	155,455	109,011	115,217	151,478
Income tax expense	15,549	22,529	35,445	27,068	26,613	32,856
Minorities	-7,210	-8,677	-4,133	220	220	220
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	72,783	80,009	130,109	89,523	96,183	126,202
DB adjustments (including dilution)	68,596	77,470	28,013	-10,740	31,754	33,124
DB Net profit	141,379	157,479	158,122	78,783	127,937	159,326

Cash Flow (CNYm)

Cash flow from operations	199,752	182,593	163,509	70,683	158,566	198,589
Net Capex	-33,708	-32,556	-85,972	-123,185	-133,744	-142,258
Free cash flow	166,044	150,037	77,537	-52,502	24,822	56,331
Equity raised/(bought back)	-77,246	-111,669	-17,239	-16,975	-8,035	-13,574
Dividends paid	-489	-546	0	0	0	0
Net inc/(dec) in borrowings	11,342	2,465	72,143	0	0	0
Other investing/financing cash flows	-97,494	16,627	-229,597	18,038	9,098	14,637
Net cash flow	2,157	56,914	-97,156	-51,439	25,885	57,394
Change in working capital	13,482	-4,221	-10,705	-12,824	18,096	5,525

Balance Sheet (CNYm)

Cash and other liquid assets	193,086	248,125	145,487	94,048	119,934	177,328
Tangible fixed assets	176,031	185,161	203,348	290,604	377,829	455,424
Goodwill/intangible assets	315,004	286,629	276,412	273,244	270,393	267,827
Associates/investments	683,155	599,999	669,075	671,603	683,029	693,937
Other assets	385,768	444,915	509,905	572,657	617,162	656,984
Total assets	1,753,044	1,764,829	1,804,227	1,902,157	2,068,347	2,251,499
Interest bearing debt	161,354	170,776	194,869	194,869	194,869	194,869
Other liabilities	468,769	481,454	519,252	515,084	572,294	615,158
Total liabilities	630,123	652,230	714,121	709,953	767,163	810,027
Shareholders' equity	999,515	997,272	1,021,571	1,123,449	1,232,209	1,372,277
Minorities	123,406	115,327	68,535	68,755	68,975	69,195
Total shareholders' equity	1,122,921	1,112,599	1,090,106	1,192,204	1,301,184	1,441,472
Net debt	-31,732	-77,349	49,382	100,821	74,935	17,541

Key Company Metrics

Sales growth (%)	1.8	8.3	5.9	3.0	13.3	11.2
DB EPS growth (%)	8.1	15.4	5.8	-50.0	62.4	24.5
EBITDA Margin (%)	17.0	16.8	17.7	9.6	13.3	16.4
EBIT Margin (%)	11.6	12.0	14.1	5.8	9.1	11.2
Payout ratio (%)	0.0	35.8	25.5	9.9	15.0	14.2
ROE (%)	7.4	8.0	12.9	8.3	8.2	9.7
Capex/sales (%)	4.0	3.5	8.6	12.0	11.5	11.0
Capex/depreciation (x)	0.7	0.7	2.4	3.2	2.7	2.1
Net debt/equity (%)	-2.8	-7.0	4.5	8.5	5.8	1.2
Net interest cover (x)	5.9	6.3	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates



Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist			
Company	Ticker	Recent price*	Disclosure
Alibaba	BABA.N	136.42 (USD) 22 Apr 2026	1, 2, 7, 8, 14, 15, 21, 24, 26
Alibaba	9988.HK	131.5 (HKD) 22 Apr 2026	1, 2, 7, 8, 14, 15, 21, 24, 26
JD.com	JD.OQ	30.61 (USD) 22 Apr 2026	2, 7, 14, 24, 26
JD.com	9618.HK	120.2 (HKD) 22 Apr 2026	2, 7, 14, 24, 26
PDD Holdings Inc	PDD.OQ	100.05 (USD) 22 Apr 2026	2, 8, 14, 15, 24

*Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources. For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly encouraged to review this information before investing.

Important Disclosures Required by U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

1. Within the past year, Deutsche Bank and/or its affiliate(s) has managed or co-managed a public offering for this company, for which it received fees.
2. Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.
7. Deutsche Bank and/or its affiliate(s) has received compensation from this company for the provision of investment banking or financial advisory services within the past year.
8. Deutsche Bank and/or its affiliate(s) expects to receive, or intends to seek, compensation for investment banking services from this company in the next three months.
14. Deutsche Bank and/or its affiliate(s) has received compensation from this company within the past year for non-investment banking related services.
15. This company has been a client of Deutsche Bank Securities Inc. within the past year during which time it received investment banking services.
21. This company has been a client of Deutsche Bank Securities Inc. within the past year, during which time it received non-investment banking securities-related services.

Important Disclosures Required by Non-U.S. Regulators

Disclosures marked with an asterisk may also be required by at least one jurisdiction in addition to the United States. See Important Disclosures Required by Non-US Regulators and Explanatory Notes.

1. Within the past year, Deutsche Bank and/or its affiliate(s) has managed or co-managed a public offering for this company, for which it received fees.
2. Deutsche Bank and/or its affiliate(s) may act as a market maker or liquidity provider in the financial instruments issued by this company.
24. Deutsche Bank and/or its affiliate(s) is or has been over the previous 12 months party to an agreement with the company relating to the provision of services set out in Sections A and B of Annex I of Directive 2014/65/EU, or has over the previous 12 months been obliged or entitled (as applicable) to pay or receive compensation relating to the provision of services set out in Sections A and B of Annex I of Directive 2014/65/EU.
26. Within the preceding 12 months, Deutsche Bank and/or its affiliate(s) has received compensation for the provision of investment banking services or is currently providing or has provided investment banking services to this company.

For disclosures pertaining to recommendations or estimates made on securities other than the primary subject of this research, please see the most recently published company report or visit our global disclosure look-up page on our website at <https://research.db.com/Research/Disclosures/EquityResearchDisclosures>. Aside from within this report, important risk and conflict disclosures can also be found at <https://research.db.com/Research/Disclosures/Disclaimer>. Investors are strongly



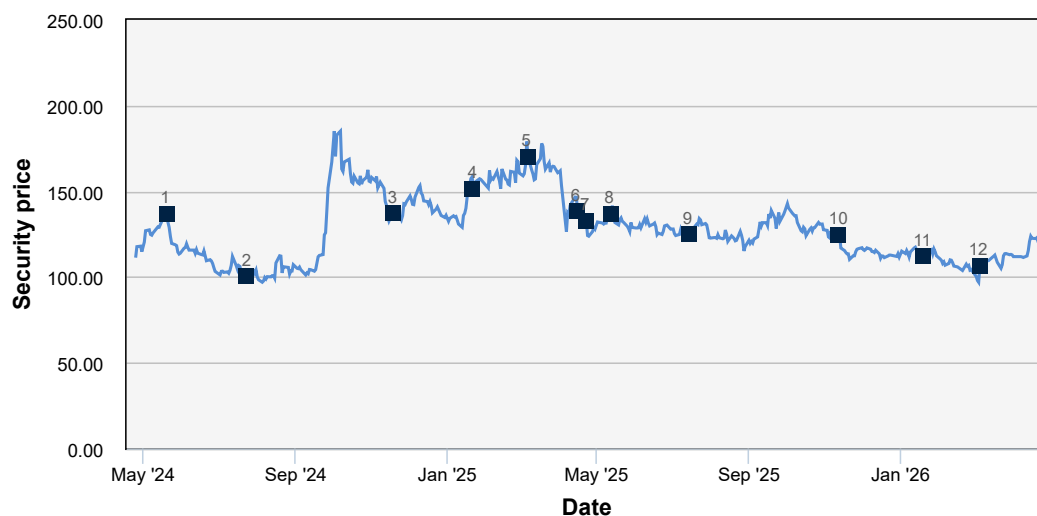
encouraged to review this information before investing.

Analyst Certification

The views expressed in this report accurately reflect the personal views of the undersigned lead analyst about the subject issuers and the securities of those issuers. In addition, the undersigned lead analyst has not and will not receive any compensation for providing a specific recommendation or view in this report. Peter Milliken.

Historical recommendations and target price: JD.com (9618.HK)

(as of 04/22/2026)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

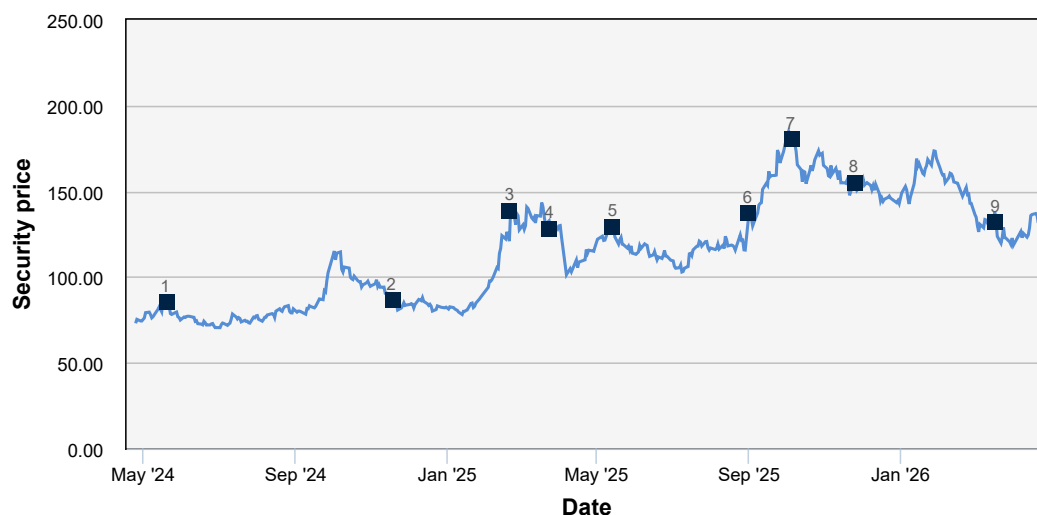
** Analyst is no longer at Deutsche Bank

1. 05/20/2024	Buy, Target Price Change HKD 168.00, Current Price HKD 136.80 Jessie Xu**	7. 04/23/2025	Buy, Target Price Change HKD 199.00, Current Price HKD 132.40 Jessie Xu**
2. 07/24/2024	Buy, Target Price Change HKD 156.00, Current Price HKD 100.60 Jessie Xu**	8. 05/13/2025	Buy, Target Price Change HKD 204.00, Current Price HKD 137.00 Jessie Xu**
3. 11/19/2024	Buy, Target Price Change HKD 165.00, Current Price HKD 137.20 Jessie Xu**	9. 07/15/2025	Buy, Target Price Change HKD 173.00, Current Price HKD 125.00 Jessie Xu**
4. 01/22/2025	Buy, Target Price Change HKD 190.00, Current Price HKD 151.60 Jessie Xu**	10. 11/13/2025	Buy, Target Price Change HKD 168.00, Current Price HKD 124.40 Peter Milliken
5. 03/07/2025	Buy, Target Price Change HKD 193.00, Current Price HKD 170.10 Jessie Xu**	11. 01/20/2026	Buy, Target Price Change HKD 155.00, Current Price HKD 112.40 Peter Milliken
6. 04/16/2025	Buy, Target Price Change HKD 197.00, Current Price HKD 138.40 Jessie Xu**	12. 03/06/2026	Buy, Target Price Change HKD 140.00, Current Price HKD 106.60 Peter Milliken



Historical recommendations and target price: Alibaba (9988.HK)

(as of 04/22/2026)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	05/20/2024	Buy, Target Price Change HKD 122.00, Current Price HKD 85.35 Jessie Xu**	6.	09/01/2025	Buy, Target Price Change HKD 172.00, Current Price HKD 137.10 Peter Milliken
2.	11/18/2024	Buy, Target Price Change HKD 127.00, Current Price HKD 86.30 Jessie Xu**	7.	10/06/2025	Buy, Target Price Change HKD 220.00, Current Price HKD 180.50 Peter Milliken
3.	02/21/2025	Buy, Target Price Change HKD 155.00, Current Price HKD 138.50 Jessie Xu**	8.	11/26/2025	Buy, Target Price Change HKD 210.00, Current Price HKD 154.80 Peter Milliken
4.	03/25/2025	Buy, Target Price Change HKD 163.00, Current Price HKD 127.70 Jessie Xu**	9.	03/19/2026	Buy, Target Price Change HKD 190.00, Current Price HKD 132.00 Peter Milliken
5.	05/15/2025	Buy, Target Price Change HKD 165.00, Current Price HKD 128.90 Jessie Xu**			



Historical recommendations and target price: Alibaba (BABA.N)

(as of 04/22/2026)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

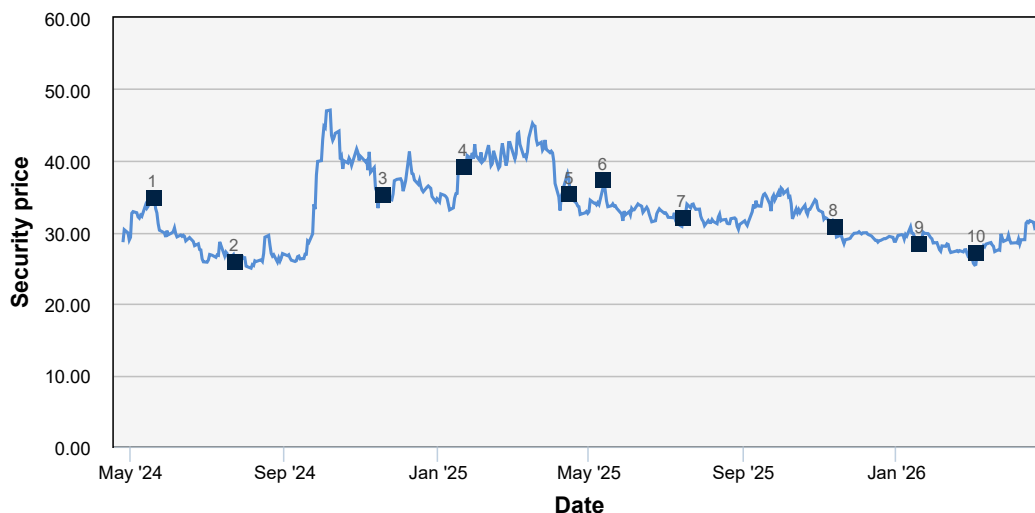
** Analyst is no longer at Deutsche Bank

1.	05/20/2024	Buy, Target Price Change USD 125.00, Current Price USD 88.28 Jessie Xu**	6.	09/01/2025	Buy, Target Price Change USD 176.00, Current Price USD 135.00 Peter Milliken
2.	11/18/2024	Buy, Target Price Change USD 130.00, Current Price USD 89.35 Jessie Xu**	7.	10/06/2025	Buy, Target Price Change USD 225.00, Current Price USD 187.22 Peter Milliken
3.	02/21/2025	Buy, Target Price Change USD 162.00, Current Price USD 143.75 Jessie Xu**	8.	11/26/2025	Buy, Target Price Change USD 215.00, Current Price USD 157.60 Peter Milliken
4.	03/25/2025	Buy, Target Price Change USD 168.00, Current Price USD 132.75 Jessie Xu**	9.	03/19/2026	Buy, Target Price Change USD 195.00, Current Price USD 124.90 Peter Milliken
5.	05/15/2025	Buy, Target Price Change USD 169.00, Current Price USD 123.90 Jessie Xu**			



Historical recommendations and target price: JD.com (JD.OQ)

(as of 04/22/2026)



Current Recommendations

Buy
Hold
Sell
Not Rated
Suspended Rating

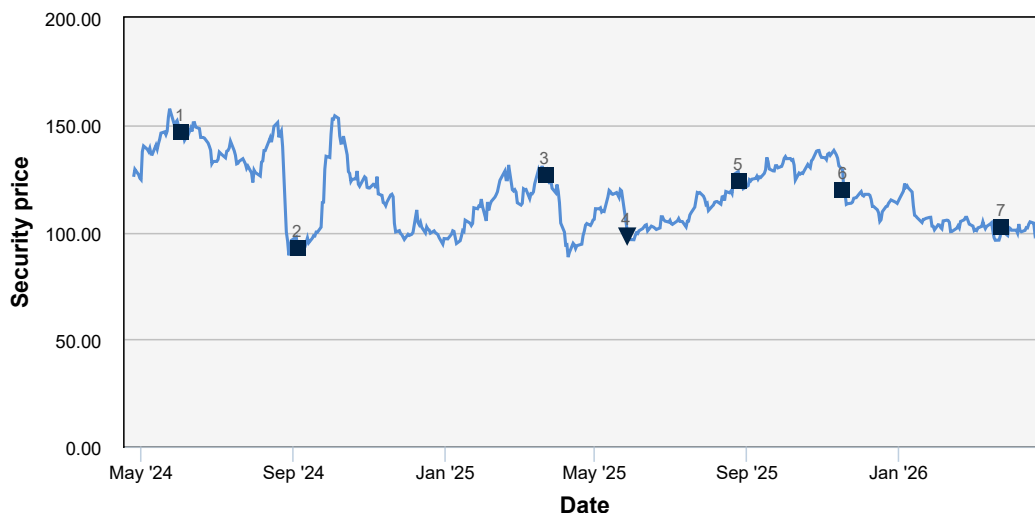
** Analyst is no longer at Deutsche Bank

1.	05/20/2024	Buy, Target Price Change USD 43.00, Current Price USD 34.75 Jessie Xu**	6.	05/13/2025	Buy, Target Price Change USD 52.00, Current Price USD 37.25 Jessie Xu**
2.	07/24/2024	Buy, Target Price Change USD 40.00, Current Price USD 25.76 Jessie Xu**	7.	07/15/2025	Buy, Target Price Change USD 44.00, Current Price USD 32.04 Jessie Xu**
3.	11/19/2024	Buy, Target Price Change USD 42.00, Current Price USD 35.19 Jessie Xu**	8.	11/13/2025	Buy, Target Price Change USD 43.00, Current Price USD 30.71 Peter Milliken
4.	01/22/2025	Buy, Target Price Change USD 49.00, Current Price USD 39.12 Jessie Xu**	9.	01/20/2026	Buy, Target Price Change USD 40.00, Current Price USD 28.38 Peter Milliken
5.	04/16/2025	Buy, Target Price Change USD 51.00, Current Price USD 35.33 Jessie Xu**	10.	03/06/2026	Buy, Target Price Change USD 36.00, Current Price USD 27.03 Peter Milliken



Historical recommendations and target price: PDD Holdings Inc (PDD.OQ)

(as of 04/22/2026)



Current Recommendations

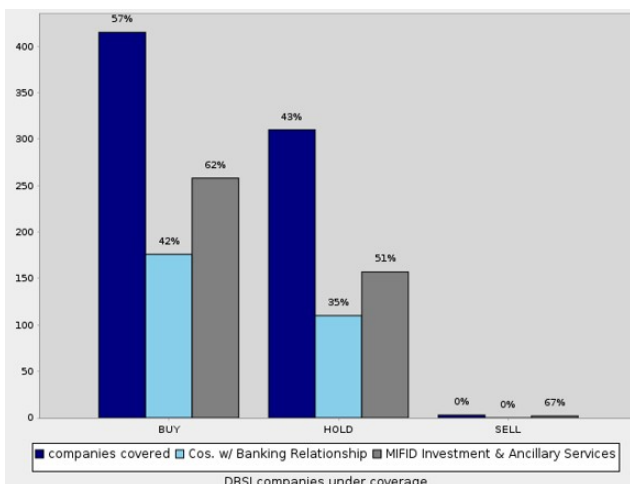
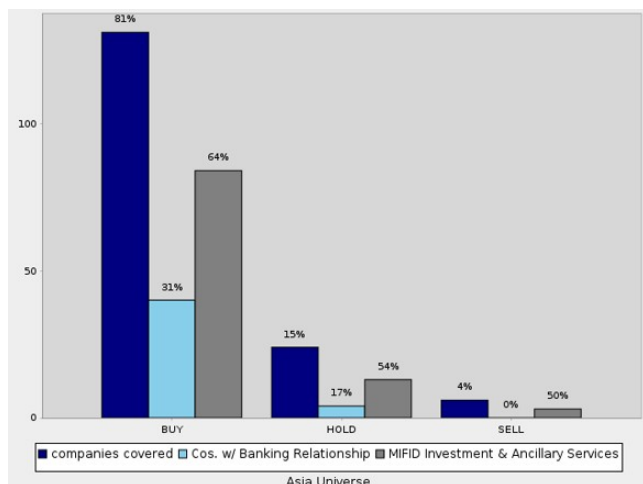
Buy
Hold
Sell
Not Rated
Suspended Rating

** Analyst is no longer at Deutsche Bank

1. 06/03/2024	Buy, Target Price Change USD 222.00, Current Price USD 146.92 Jessie Xu**	5. 08/26/2025	Hold, Target Price Change USD 130.00, Current Price USD 123.91 Peter Milliken
2. 09/05/2024	Buy, Target Price Change USD 152.00, Current Price USD 92.68 Jessie Xu**	6. 11/18/2025	Hold, Target Price Change USD 126.00, Current Price USD 119.58 Peter Milliken
3. 03/23/2025	Buy, Target Price Change USD 166.00, Current Price USD 126.64 Jessie Xu**	7. 03/25/2026	Hold, Target Price Change USD 115.00, Current Price USD 102.61 Peter Milliken
4. 05/28/2025	Downgraded to Hold, Target Price Change USD 112.00, Current Price USD 97.88 Jessie Xu**		



Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the "buy" / "Companies Covered" bar means that 50% of DB's equity research covered companies over the past 12 months have a "buy" rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

- The proportion of "buy", "sell" or "hold" recommendations where Deutsche Bank and/or Affiliates provided MIFID Investment or Ancillary Services in the past 12 months. This is represented in the "MIFID Investment and Ancillary Services" bar. The percentage value displayed above the bar shows the proportion of Companies Covered with the given rating where DB has also provided MIFID Investment and Ancillary Services in the past 12 months. E.g. 50% above the "Cos. w/ MIFID Investment and Ancillary Services" bar means 50% of the Companies Covered with the rating stated have also received MIFID Investment and Ancillary Services from DB.

- The proportion of "buy" (or "sell" or "hold") recommendations where Deutsche Bank and/or Affiliates has provided Investment Banking services in the past 12 months for which it has received compensation. The percentage value displayed above the bar shows the proportion of Companies Covered with the stated rating where DB has also provided Investment Banking services in the past 12 months. E.g. 50% above the "Cos. w/ Investment Banking relationship" bar means 50% of the Companies Covered with the rating stated also have an Investment Banking Relationship with DB.

Buy: Based on a current 12-month view of TSR, we recommend that investors buy the stock.

Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

Newly issued research recommendations and target prices supersede previously published research.



Additional Information

The information and opinions in this report were prepared by Deutsche Bank AG or one of its affiliates (collectively 'Deutsche Bank'). Though the information herein is believed to be reliable and has been obtained from public sources believed to be reliable, Deutsche Bank makes no representation as to its accuracy or completeness. Hyperlinks to third-party websites in this report are provided for reader convenience only. Deutsche Bank neither endorses the content nor is responsible for the accuracy or security controls of those websites.

If you use the services of Deutsche Bank in connection with a purchase or sale of a security that is discussed in this report, or is included or discussed in another communication (oral or written) from a Deutsche Bank analyst, Deutsche Bank may act as principal for its own account or as agent for another person.

Deutsche Bank may consider this report in deciding to trade as principal. It may also engage in transactions, for its own account or with customers, in a manner inconsistent with the views taken in this research report. Others within Deutsche Bank, including strategists, sales staff and other analysts, may take views that are inconsistent with those taken in this research report. Deutsche Bank issues a variety of research products, including fundamental analysis, equity-linked analysis, quantitative analysis and trade ideas. Recommendations contained in one type of communication may differ from recommendations contained in others, whether as a result of differing time horizons, methodologies, perspectives or otherwise. Deutsche Bank and/or its affiliates may also be holding debt or equity securities of the issuers it writes on. Analysts are paid in part based on the profitability of Deutsche Bank AG and its affiliates, which includes investment banking, trading and principal trading revenues.

Opinions, estimates and projections constitute the current judgment of the author as of the date of this report. They do not necessarily reflect the opinions of Deutsche Bank and are subject to change without notice. Deutsche Bank provides liquidity for buyers and sellers of securities issued by the companies it covers. Deutsche Bank research analysts sometimes have shorter-term trade ideas that may be inconsistent with Deutsche Bank's existing longer-term ratings. Some trade ideas for equities are listed as Catalyst Calls on the Research Website (<https://research.db.com/Research/>), and can be found on the general coverage list and also on the covered company's page. A Catalyst Call represents a high-conviction belief by an analyst that a stock will outperform or underperform the market and/or a specified sector over a time frame of no less than two weeks and no more than three months. In addition to Catalyst Calls, analysts may occasionally discuss with our clients, and with Deutsche Bank salespersons and traders, trading strategies or ideas that reference catalysts or events that may have a near-term or medium-term impact on the market price of the securities discussed in this report, which impact may be directionally counter to the analysts' current 12-month view of total return or investment return as described herein. Deutsche Bank has no obligation to update, modify or amend this report or to otherwise notify a recipient thereof if an opinion, forecast or estimate changes or becomes inaccurate. Coverage and the frequency of changes in market conditions and in both general and company-specific economic prospects make it difficult to update research at defined intervals. Updates are at the sole discretion of the coverage analyst or of the Research Department Management, and the majority of reports are published at irregular intervals. This report is provided for informational purposes only and does not take into account the particular investment objectives, financial situations, or needs of individual clients. It is not an offer or a solicitation of an offer to buy or sell any financial instruments or to participate in any particular trading strategy. Target prices are inherently imprecise and a product of the analyst's judgment. The financial instruments discussed in this report may not be suitable for all investors, and investors must make their own informed investment decisions. Prices and availability of financial instruments are subject to change without notice, and investment transactions can lead to losses as a result of price fluctuations and other factors. If a financial instrument is denominated in a currency other than an investor's currency, a change in exchange rates may adversely affect the investment. Past performance is not necessarily indicative of future results. Performance calculations exclude transaction costs, unless otherwise indicated. Unless otherwise indicated, prices are current as of the end of the previous trading session and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Data is also sourced from Deutsche Bank, subject companies, and other parties. Artificial intelligence tools may be used in the preparation of this material, including but not limited to assist in fact-finding, data analysis, pattern recognition, content drafting and editorial corrections pertaining to research material.

The Deutsche Bank Research Department is independent of other business divisions of the Bank. Details regarding our organizational arrangements and information barriers we have to prevent and avoid conflicts of interest with respect to our research are available on our website (<https://research.db.com/Research/>) under Disclaimer.

Macroeconomic fluctuations often account for most of the risks associated with exposures to instruments that promise to pay fixed or variable interest rates. For an investor who is long fixed-rate instruments (thus receiving these cash flows), increases in interest rates naturally lift the discount factors applied to the expected cash flows and thus cause a loss. The longer the maturity of a certain cash flow and the higher the move in the discount factor, the higher will be the loss. Upside surprises in inflation, fiscal funding needs, and FX depreciation rates are among the most common adverse macroeconomic shocks to receivers. But counterparty exposure, issuer creditworthiness, client segmentation, regulation (including changes in assets holding limits for different types of investors), changes in tax policies, currency convertibility (which may constrain currency conversion, repatriation of profits and/or liquidation of positions), and settlement issues related to local clearing houses are also important risk factors. The sensitivity of fixed-income instruments to macroeconomic shocks may be mitigated by indexing the contracted cash flows to inflation, to FX depreciation, or to specified interest rates - these are common in emerging markets. The index fixings may - by construction - lag or mis-measure the actual move in the underlying variables they are intended to track. The choice of the proper fixing (or metric) is particularly important in swaps markets, where floating coupon rates (i.e., coupons indexed to a typically short-dated interest rate reference index) are exchanged for fixed coupons. Funding in a currency that differs from the currency in which coupons are denominated carries FX risk. Options on swaps (swaptions) the risks typical to options in addition to the risks related to rates movements.



Derivative transactions involve numerous risks including market, counterparty default and illiquidity risk. The appropriateness of these products for use by investors depends on the investors' own circumstances, including their tax position, their regulatory environment and the nature of their other assets and liabilities; as such, investors should take expert legal and financial advice before entering into any transaction similar to or inspired by the contents of this publication. The risk of loss in futures trading and options, foreign or domestic, can be substantial. As a result of the high degree of leverage obtainable in futures and options trading, losses may be incurred that are greater than the amount of funds initially deposited - up to theoretically unlimited losses. Trading in options involves risk and is not suitable for all investors. Prior to buying or selling an option, investors must review the 'Characteristics and Risks of Standardized Options', at <https://www.theocc.com/company-information/documents-and-archives/options-disclosure-document>. If you are unable to access the website, please contact your Deutsche Bank representative for a copy of this important document.

Participants in foreign exchange transactions may incur risks arising from several factors, including the following: (i) exchange rates can be volatile and are subject to large fluctuations; (ii) the value of currencies may be affected by numerous market factors, including world and national economic, political and regulatory events, events in equity and debt markets and changes in interest rates; and (iii) currencies may be subject to devaluation or government-imposed exchange controls, which could affect the value of the currency. Investors in securities such as ADRs, whose values are affected by the currency of an underlying security, effectively assume currency risk.

Unless governing law provides otherwise, all transactions should be executed through the Deutsche Bank entity in the investor's home jurisdiction. Aside from within this report, important conflict disclosures can also be found at <https://research.db.com/Research/> on each company's research page or under the 'Disclosures' tab. Investors are strongly encouraged to review this information before investing.

Deutsche Bank (which includes Deutsche Bank AG, its branches and affiliated companies) is not acting as a financial adviser, consultant or fiduciary to you or any of your agents (collectively, "You" or "Your") with respect to any information provided in this report. Deutsche Bank does not provide investment, legal, tax or accounting advice, Deutsche Bank is not acting as your impartial adviser, and does not express any opinion or recommendation whatsoever as to any strategies, products or any other information presented in the materials. Information contained herein is being provided solely on the basis that the recipient will make an independent assessment of the merits of any investment decision, and it does not constitute a recommendation of, or express an opinion on, any product or service or any trading strategy.

The information presented is general in nature and is not directed to retirement accounts or any specific person or account type, and is therefore provided to You on the express basis that it is not advice, and You may not rely upon it in making Your decision. The information we provide is being directed only to persons we believe to be financially sophisticated, who are capable of evaluating investment risks independently, both in general and with regard to particular transactions and investment strategies, and who understand that Deutsche Bank has financial interests in the offering of its products and services. If this is not the case, or if You are an IRA or other retail investor receiving this directly from us, we ask that you inform us immediately.

In July 2018, Deutsche Bank revised its rating system for short term ideas whereby the branding has been changed to Catalyst Calls ("CC") from SOLAR ideas; the rating categories for Catalyst Calls originated in the Americas region have been made consistent with the categories used by Analysts globally; and the effective time period for CCs has been reduced from a maximum of 180 days to 90 days.

United States: Approved and/or distributed by Deutsche Bank Securities Incorporated, a member of FINRA and SIPC. Analysts located outside of the United States are employed by non-US affiliates and are not registered/qualified as research analysts with FINRA.

European Economic Area (exc. United Kingdom): Approved and/or distributed by Deutsche Bank AG, a joint stock corporation with limited liability incorporated in the Federal Republic of Germany with its principal office in Frankfurt am Main. Deutsche Bank AG is authorized under German Banking Law and is subject to supervision by the European Central Bank and by BaFin, Germany's Federal Financial Supervisory Authority.

United Kingdom: Approved and/or distributed by Deutsche Bank AG acting through its London Branch at 21 Moorfields, London EC2Y 9DB. Deutsche Bank AG in the United Kingdom is authorised by the Prudential Regulation Authority and is subject to limited regulation by the Prudential Regulation Authority and Financial Conduct Authority. Details about the extent of our authorisation and regulation are available on request.

Hong Kong SAR: Distributed by Deutsche Bank AG, Hong Kong Branch except for any research content relating to futures contracts within the meaning of the Hong Kong Securities and Futures Ordinance Cap. 571. Research reports on such futures contracts are not intended for access by persons who are located, incorporated, constituted or resident in Hong Kong. The author(s) of a research report may not be licensed to carry on regulated activities in Hong Kong and, if not licensed, do not hold themselves out as being able to do so. The provisions set out above in the 'Additional Information' section shall apply to the fullest extent permissible by local laws and regulations, including without limitation the Code of Conduct for Persons Licensed or Registered with the Securities and Futures Commission. This report is intended for distribution only to 'professional investors' as defined in Part 1 of Schedule of the SFO. This document must not be acted or relied on by persons who are not professional investors. Any investment or investment activity to which this document relates is only available to professional investors and will be engaged only with professional investors.

India: Prepared by Deutsche Equities India Private Limited (DEIPL) having CIN: U65990MH2002PTC137431 and registered



office at 14th Floor, The Capital, C-70, G Block, Bandra Kurla Complex, Mumbai (India) 400051. Tel: + 91 22 7180 4444. It is registered by the Securities and Exchange Board of India (SEBI) as a Stock broker bearing registration no.: INZ000252437; Merchant Banker bearing SEBI Registration no.: INM000010833 and Research Analyst bearing SEBI Registration no.: INH000001741. DEIPL's Compliance / Grievance officer is Ms. Rashmi Poddar (Tel: +91 22 7180 4929 email ID: complaints.deipl@db.com). Registration granted by SEBI and certification from NISM in no way guarantee performance of DEIPL or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. DEIPL may have received administrative warnings from the SEBI for breaches of Indian regulations. Deutsche Bank and/or its affiliate(s) may have debt holdings or positions in the subject company. With regard to information on associates, please refer to the "Shareholdings" section in the Annual Report at: <https://www.db.com/ir/en/annual-reports.htm>. For latest India research audit report, refer https://country.db.com/india/deutsche-equities-india/index?language_id=1.

Japan: Approved and/or distributed by Deutsche Securities Inc.(DSI). Registration number - Registered as a financial instruments dealer by the Head of the Kanto Local Finance Bureau (Kinsho) No. 117. Member of associations: JSDA, Type II Financial Instruments Firms Association and The Financial Futures Association of Japan. Commissions and risks involved in stock transactions - for stock transactions, we charge stock commissions and consumption tax by multiplying the transaction amount by the commission rate agreed with each customer. Stock transactions can lead to losses as a result of share price fluctuations and other factors. Transactions in foreign stocks can lead to additional losses stemming from foreign exchange fluctuations. We may also charge commissions and fees for certain categories of investment advice, products and services. Recommended investment strategies, products and services carry the risk of losses to principal and other losses as a result of changes in market and/or economic trends, and/or fluctuations in market value. Before deciding on the purchase of financial products and/or services, customers should carefully read the relevant disclosures, prospectuses and other documentation. 'Moody's', 'Standard Poor's', and 'Fitch' mentioned in this report are not registered credit rating agencies in Japan unless Japan or 'Nippon' is specifically designated in the name of the entity. Reports on Japanese listed companies not written by analysts of DSI are written by Deutsche Bank Group's analysts with the coverage companies specified by DSI. Some of the foreign securities stated on this report are not disclosed according to the Financial Instruments and Exchange Law of Japan. Target prices set by Deutsche Bank's equity analysts are based on a 12-month forecast period.

Korea: Distributed by Deutsche Securities Korea Co.

South Africa: Deutsche Bank AG Johannesburg is incorporated in the Federal Republic of Germany (Branch Register Number in South Africa: 1998/003298/10).

Singapore: This report is issued by Deutsche Bank AG, Singapore Branch (One Raffles Quay #18-00 South Tower Singapore 048583, 65 6423 8001), which may be contacted in respect of any matters arising from, or in connection with, this report. Where this report is issued or promulgated by Deutsche Bank in Singapore to a person who is not an accredited investor, expert investor or institutional investor (as defined in the applicable Singapore laws and regulations), they accept legal responsibility to such person for its contents.

Taiwan: Information on securities/investments that trade in Taiwan is for your reference only. Readers should independently evaluate investment risks and are solely responsible for their investment decisions. Deutsche Bank research may not be distributed to the Taiwan public media or quoted or used by the Taiwan public media without written consent. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation to trade in such securities/instruments.

Qatar: Deutsche Bank AG in the Qatar Financial Centre (registered no. 00032) is regulated by the Qatar Financial Centre Regulatory Authority. Deutsche Bank AG - QFC Branch may undertake only the financial services activities that fall within the scope of its existing QFCRA license. Its principal place of business in the QFC: Qatar Financial Centre, Tower, West Bay, Level 5, PO Box 14928, Doha, Qatar. This information has been distributed by Deutsche Bank AG. Related financial products or services are only available only to Business Customers, as defined by the Qatar Financial Centre Regulatory Authority.

Russia: The information, interpretation and opinions submitted herein are not in the context of, and do not constitute, any appraisal or evaluation activity requiring a license in the Russian Federation.

Kingdom of Saudi Arabia: Deutsche Securities Saudi Arabia (DSSA) is a closed joint stock company authorized by the Capital Market Authority of the Kingdom of Saudi Arabia with a license number (No. 37-07073) to conduct the following business activities: Dealing, Arranging, Advising, and Custody activities. DSSA registered office is Faisaliah Tower, 17th Floor, King Fahad Road - Al Olaya District Riyadh, Kingdom of Saudi Arabia P.O. Box 301806.

United Arab Emirates: Deutsche Bank AG in the Dubai International Financial Centre (registered no. 00045) is regulated by the Dubai Financial Services Authority. Deutsche Bank AG - DIFC Branch may only undertake the financial services activities that fall within the scope of its existing DFSA license. Principal place of business in the DIFC: Dubai International Financial Centre, The Gate Village, Building 5, PO Box 504902, Dubai, U.A.E. This information has been distributed by Deutsche Bank AG. Related financial products or services are available only to Professional Clients, as defined by the Dubai Financial Services Authority.

Australia and New Zealand: This research is intended only for 'wholesale clients' within the meaning of the Australian Corporations Act and New Zealand Financial Advisors Act, respectively. Please refer to Australia-specific research disclosures and related information at https://www.dbresearch.com/PROD/RPS_EN-PROD/PROD0000000000521304.xhtml. Where



research refers to any particular financial product recipients of the research should consider any product disclosure statement, prospectus or other applicable disclosure document before making any decision about whether to acquire the product. In preparing this report, the primary analyst or an individual who assisted in the preparation of this report has likely been in contact with the company that is the subject of this research for confirmation/clarification of data, facts, statements, permission to use company-sourced material in the report, and/or site-visit attendance. Without prior approval from Research Management, analysts may not accept from current or potential Banking clients the costs of travel, accommodations, or other expenses incurred by analysts attending site visits, conferences, social events, and the like. Similarly, without prior approval from Research Management and Anti-Bribery and Corruption ("ABC") team, analysts may not accept perks or other items of value for their personal use from issuers they cover.

Additional information relative to securities, other financial products or issuers discussed in this report is available upon request. This report may not be reproduced, distributed or published without Deutsche Bank's prior written consent.

Backtested, hypothetical or simulated performance results have inherent limitations. Unlike an actual performance record based on trading actual client portfolios, simulated results are achieved by means of the retroactive application of a backtested model itself designed with the benefit of hindsight. Taking into account historical events the backtesting of performance also differs from actual account performance because an actual investment strategy may be adjusted any time, for any reason, including a response to material, economic or market factors. The backtested performance includes hypothetical results that do not reflect the reinvestment of dividends and other earnings or the deduction of advisory fees, brokerage or other commissions, and any other expenses that a client would have paid or actually paid. No representation is made that any trading strategy or account will or is likely to achieve profits or losses similar to those shown. Alternative modeling techniques or assumptions might produce significantly different results and prove to be more appropriate. Past hypothetical backtest results are neither an indicator nor guarantee of future returns. Actual results will vary, perhaps materially, from the analysis.

The method for computing individual E,S,G and composite ESG scores set forth herein is a novel method developed by the Research department within Deutsche Bank AG, computed using a systematic approach without human intervention. Different data providers, market sectors and geographies approach ESG analysis and incorporate the findings in a variety of ways. As such, the ESG scores referred to herein may differ from equivalent ratings developed and implemented by other ESG data providers in the market and may also differ from equivalent ratings developed and implemented by other divisions within the Deutsche Bank Group. Such ESG scores also differ from other ratings and rankings that have historically been applied in research reports published by Deutsche Bank AG. Further, such ESG scores do not represent a formal or official view of Deutsche Bank AG. It should be noted that the decision to incorporate ESG factors into any investment strategy may inhibit the ability to participate in certain investment opportunities that otherwise would be consistent with your investment objective and other principal investment strategies. The returns on a portfolio consisting primarily of sustainable investments may be lower or higher than portfolios where ESG factors, exclusions, or other sustainability issues are not considered, and the investment opportunities available to such portfolios may differ. Companies may not necessarily meet high performance standards on all aspects of ESG or sustainable investing issues; there is also no guarantee that any company will meet expectations in connection with corporate responsibility, sustainability, and/or impact performance.

Copyright © 2026 Deutsche Bank AG



David Folkerts-Landau

Group Chief Economist and Global Head of Research

Pam Finelli
Global Chief Operating Officer
Research

Steve Pollard
Global Head of Company
Research and Sales

Jim Reid
Global Head of
Macro and Thematic Research

Tim Rokossa
Head of Germany
Research

Gerry Gallagher
Head of European
Company Research

Matthew Barnard
Head of Americas
Company Research

Peter Milliken
Head of APAC
Company Research

Debbie Jones
Global Head of Sustainability
and Data Innovation, Research

Sameer Goel
Global Head of EM & APAC
Research

Francis Yared
Global Head of Rates Research

George Saravelos
Global Head of FX Research

Peter Hooper
Vice-Chair of Research

International Production Locations

Deutsche Bank AG

Deutsche Bank Place
Level 16
Corner of Hunter & Phillip
Streets
Sydney, NSW 2000
Australia
Tel: (61) 2 8258 1234

Deutsche Bank AG

Equity Research
Mainzer Landstrasse 11-17
60329 Frankfurt am Main
Germany
Tel: (49) 69 910 00

Deutsche Bank AG

Filiale Hongkong
International Commerce
Centre,
1 Austin Road West, Kowloon,
Hong Kong
Tel: (852) 2203 8888

Deutsche Securities Inc.

1-3-1 Azabudai
Azabudai Hills Mori JP Tower
Minato-ku, Tokyo 106-0041
Japan
Tel: (81) 3 6730 1000

Deutsche Bank AG

21 Moorfields
London EC2Y 9DB
United Kingdom
Tel: (44) 20 7545 8000

Deutsche Bank Securities Inc.

The Deutsche Bank Center
1 Columbus Circle
New York, NY 10019
Tel: (1) 212 250 2500

Deutsche Bank AG

Filiale Singapur
One Raffles Quay, South
Tower,
Singapore 048583
Tel: +65 6423 8001